

Financial stability: No cause for alarm

The **risks** to financial stability **have** increased in recent times — **given** the increase in **geopolitical** conflicts, **disruptions** caused by **reciprocal tariff** talks with the US and the **re-alignment** of trade and capital flows. The systemic risk **survey** conducted by the Reserve Bank of India in May this year **highlights** this growing **uncertainty** with all major risk groups being in the 'medium risk' category.

But there is no cause for alarm. **Unlike** in other **turbulent** periods, such as June 2022, domestic demand conditions are fairly **robust**. Domestic financial institutions have adequate **capital buffers** to **withstand** severe stress conditions. Yet, policymakers need to keep the ammunition ready to ensure financial stability, should the need arise. While the Financial Stability Report has **flagged** rising public **debt** as a problem globally, it **points out** that **debt-to-GDP ratio and the ratio** of interest payments to receipts **is** much lower in India **vis-a-vis** its **emerging market peers**. The Centre's **resolve** to improve the debt-to-GDP ratio also **adds to** the **credibility** of the financial system. However, a risk to financial stability could arise from overvaluation in stock markets. Earnings are growing at a far lower rate than what the share prices are building-in. Any **adverse development** increases the risk of a stock market crash.

Measures taken by the RBI in the past year such as increasing **scrutiny** on the retail loan **portfolios** of banks and NBFCs, **cracking down on** the **lax on-boarding** process for unsecured retail loans and tightening the rules for digital lending, **have** led to a **deceleration** in overall credit growth. But public sector banks appear to be still chasing high growth, which is **reflected** in their credit growth as well as uncertain asset quality. Year-on-year credit **growth** in public sector banks **was** at a higher 12.2 per cent in March 2025 quarter compared to growth of 8.9 per cent in private sector banks, and the overall growth of 11 per cent in scheduled commercial banks. The growth for PSBs appears to be led by retail credit which grew 17.7 per cent in the March 2025 quarter, while private and foreign banks **witnessed** a sharp **degrowth** in personal loans. Further, PSBs have witnessed a 21.3 per cent increase in unsecured personal loans.

The asset quality of public sector banks **is** a bit weaker than other groups. The **GNPA** and **NNPA ratio** of public sector banks **was** at a higher level of 2.8 per cent and 0.6 per cent, respectively. The **proportion** of GNPA being **written off was** also much lower in PSBs at 25.5 per cent in FY 25, compared to 45.3 per cent in private banks and 34 per cent in foreign banks. The **GNPA** in credit card loans of public sector banks **has** continued to grow in recent quarters, standing at 14.3 per cent in March 2025. The RBI should watch the loan portfolios of PSBs for **potential vulnerabilities**. The **impact** of supply chain **disruption** on **debt servicing must** be considered. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denote 'subject' and 'blue' denotes 'verb'.

Vocabulary

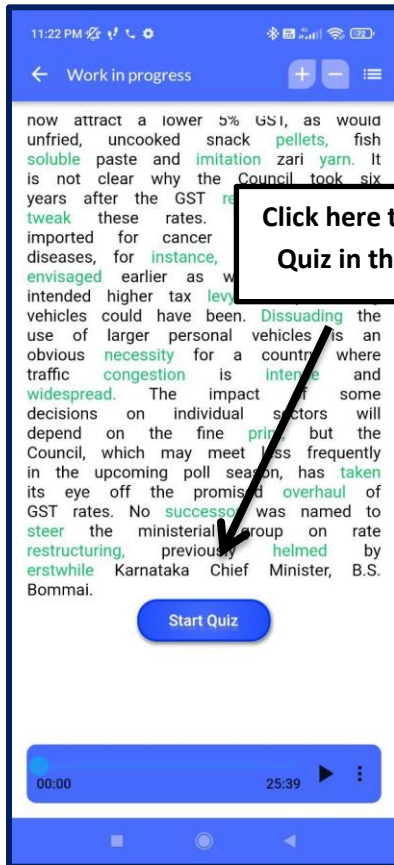
1. **Given** (preposition) – Considering, in view of, taking into account, bearing in mind, owing to को देखते हुए
2. **Geopolitical** (adjective) – International, global, strategic, diplomatic, worldwide भू-राजनीतिक
3. **Disruption** (noun) – Disturbance, interruption, breakdown, disorder, chaos विघटन
4. **Reciprocal tariff** (noun) – retaliatory taxes that a country imposes on imports in response to another country's tariffs on its own exports पारस्परिक शुल्क
5. **Re-alignment** (noun) – Reorganization, restructuring, rearrangement, reshuffling, repositioning पुनर्संरक्षण
6. **Highlight** (verb) – Emphasize, stress, underscore, accentuate, point out उजागर करना
7. **Uncertainty** (noun) – Doubt, unpredictability, vagueness, insecurity, ambiguity अनिश्चितता
8. **Unlike** (preposition) – Different from, in contrast to, contrary to, dissimilar to, distinct from के विपरीत
9. **Turbulent** (adjective) – Unstable, chaotic, stormy, volatile, rough अशांत
10. **Robust** (adjective) – Strong, sturdy, healthy, resilient, solid मजबूत
11. **Capital buffer** (noun) – an additional amount of capital that financial institutions are required to hold above their minimum regulatory requirements
12. **Withstand** (verb) – Resist, endure, survive, tolerate, bear सामना करना
13. **Flag** (verb) – Identify, signal, mark, warn, indicate संकेत करना
14. **Debt** (noun) – Liability, obligation, dues, arrears, financial burden ऋण
15. **Point out** (phrasal verb) – Indicate, mention, draw attention to, highlight, show इंगित करना
16. **Vis-à-vis** (preposition) – Compared with, in relation to, with respect to, regarding, against के मुकाबले
17. **Emerging** (adjective) – Developing, growing, rising, upcoming, evolving उभरते हुए
18. **Market peer** (noun) – a market peer refers to a company that operates in the same industry or sector as another company, and is of comparable size and business model.
19. **Resolve** (noun) – Determination, commitment, willpower, firmness, resolution संकल्प

20. **Add to** (phrasal verb) – Increase, enhance, amplify, augment, intensify जोड़ना
21. **Credibility** (noun) – Trustworthiness, reliability, integrity, dependability, believability विश्वसनीयता
22. **Adverse** (adjective) – Negative, harmful, unfavourable, detrimental, hostile प्रतिकूल
23. **Development** (noun) – Event, occurrence, progress, evolution, happening घटना
24. **Scrutiny** (noun) – Examination, inspection, analysis, investigation, review जांच
25. **Portfolio** (noun) – a range of products or services offered by an organization.
26. **Crack down on** (phrase) – Take strict action, clamp down, enforce rules, suppress, control कड़ी कार्रवाई करना
27. **Lax** (adjective) – Careless, negligent, lenient, slack, inattentive ढील
28. **On-boarding** (noun) – go through procedures to effectively integrate (a new employee) into an organization or familiarize (a new customer or client) with one's products or services.
29. **Deceleration** (noun) – Slowdown, reduction, decrease, slackening, braking मंदी
30. **Reflect** (verb) – Show, indicate, display, reveal, manifest दर्शाना
31. **Witness** (verb) – Observe, see, experience, record, undergo देखना/गवाह होना
32. **Degrowth** (noun) – Decline, contraction, reduction, downturn, drop गिरावट
33. **GNPA** (noun) – It refers to the total value of loans that a financial institution, like a bank, has given out but which are no longer being repaid on time or as per the agreed terms
34. **NNPA** (noun) – It represents the value of non-performing assets (NPAs) held by a bank or financial institution after deducting the provisions made for potential losses due to those NPAs.
35. **Written off** (phrasal verb) – Cancelled, erased, forgiven, removed, discharged बट्टे खाते में डालना
36. **Potential** (adjective) – Possible, latent, prospective, likely, probable संभावित
37. **Vulnerability** (noun) – Weakness, susceptibility, exposure, fragility, sensitivity कमजोरी/असुरक्षा
38. **Debt servicing** (noun) – It refers to the cash required to pay back interest and principal on debt obligations. ऋण भुगतान करना

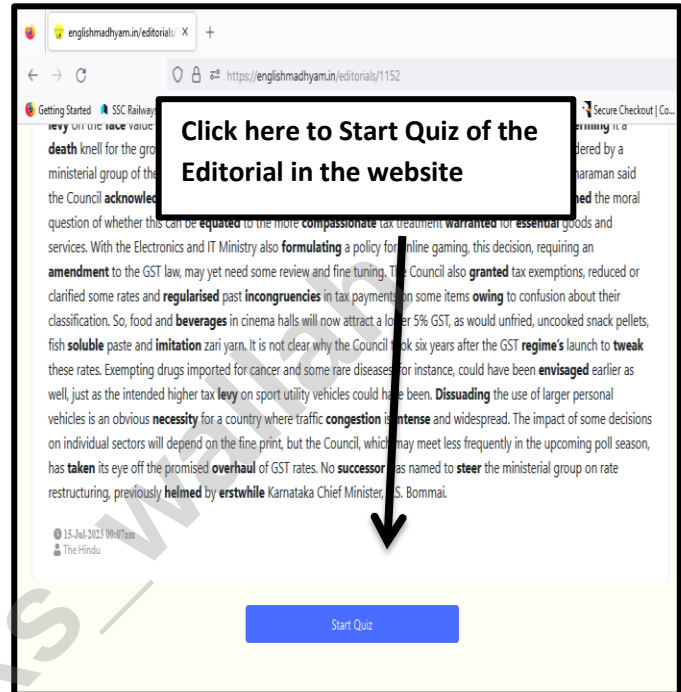
Summary of the Editorial

1. Risks to financial stability have increased due to geopolitical conflicts and disruptions in global trade and capital flows.
2. RBI's systemic risk survey in May 2025 placed all major risk categories in the 'medium risk' zone.
3. Despite these risks, there is no immediate cause for alarm because domestic demand in India remains strong.
4. Domestic financial institutions have sufficient capital buffers to handle severe financial stress.
5. Policymakers should remain prepared with tools to safeguard financial stability if risks materialize.
6. The Financial Stability Report highlighted rising global public debt as a concern but noted India's debt ratios are relatively better.
7. India's debt-to-GDP ratio and interest payment burden are lower than most emerging market peers.
8. The central government's commitment to improving the debt-to-GDP ratio boosts financial system credibility.
9. A key domestic risk is potential overvaluation in stock markets, where share prices exceed the pace of earnings growth.
10. Any negative event could trigger a stock market correction, posing a threat to financial stability.
11. The RBI has acted by tightening norms on retail lending, unsecured loans, and digital lending, slowing overall credit growth.
12. Public sector banks (PSBs) continue aggressive credit expansion, with 12.2% year-on-year credit growth in March 2025, outpacing private banks' 8.9%.
13. Retail credit led the growth in PSBs, with a sharp 17.7% rise, while private and foreign banks reduced personal lending.
14. Asset quality concerns persist in PSBs, with higher gross (2.8%) and net (0.6%) NPAs than private and foreign banks.
15. The RBI needs to monitor PSBs' loan books closely, especially considering rising GNPA in credit cards (14.3% in March 2025) and potential impacts from supply chain disruptions on debt repayments.

Practice Exercise: Banking Pattern Based



Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam